ALLEN BARGFREDE

Berklee Press

MUSIC LAW IN THE DIGITAL AGE

COPYRIGHT ESSENTIALS FOR TODAY'S MUSIC BUSINESS

3RD EDITION

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ISBN: 978-0-87639-173-0

Berklee Press

1140 Boylston Street
Boston, MA 02215-3693 USA
(617) 747-2146

Visit Berklee Press Online at
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Distributed By

HAL•LEONARD®
7777 W. Bluemound Rd. P.O. Box 13819
Milwaukee, Wisconsin 53213

Visit Hal Leonard Online
www.halleonard.com

Berklee Press, a publishing activity of Berklee College of Music, is a not-for-profit educational publisher.
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CO-PUBLISHING AGREEMENT

[This agreement is a draft, sample agreement and should not be used without a full review for your particular circumstances. Author makes no warranties with respect to the applicability of this model agreement to any particular situation.]

This co-publishing agreement ("**Agreement**") is entered into this XXst day of [MONTH], 20XX, between Writer ("**Writer**") and Publisher Music, Inc. ("**Publisher**") with respect to an exclusive co-publishing agreement between Writer and Publisher. The effectiveness of this Agreement shall not be affected by a change of name of the Writer.

1. **TERM.**

(a) The initial term ("Initial Term") of this Agreement shall commence on the date hereof and shall continue for an Initial Contract Period ending thirty-six (36) months from the date of this Agreement.

(b) This Agreement shall automatically renew for two (2) twelve (12) month periods ("**Option Periods**") automatically unless Publisher gives written notice of termination to Writer not later than thirty (30) days prior to the expiration of the Initial Term or the then current Option Period, as applicable, subject to the terms and conditions in this Agreement. The Initial Term and Option Periods, if applicable, are collectively referred to as the "Term."

2. **TERRITORY.** The World ("**Territory**").

3. **ADVANCES.**

(a) Initial Advance: Publisher agrees to pay Writer the amount of XX Thousand Dollars ($XX,000.00) ("Initial Advance") upon execution of this Agreement.

(b) Monthly Installments: Additionally, Publisher shall provide the Writer XX Thousand Dollars ($X,000.00) per month ("Monthly Advances") during the Term. The Monthly Advances will be paid out within the first seven (7) days of each month. The Monthly Advance will carry a minimum delivery requirement of one Song per month unless otherwise agreed to by Writer and Publisher. If Writer delivers more than three (3) Songs in a quarter, the extra Songs will carry over to the next quarter. A "Song" shall be defined as any substantially complete, commercially satisfactory composition, at least three minutes in length, in which Writer will be credited at least seventy-five percent (75%) of the Writer's share. The advances, which include the Initial Advance and the Monthly Advances and the Legal Fees (see Section 3.c), shall be repaid from Writer's Net Income, starting at first dollar until fully recouped. After the first eighteen (18) months of this Agreement, any unrecouped Advance shall be recoupable from only one-half (½) of the

Writer's Net Income. After the first year of this Agreement, Writer is entitled to retain at least one half of Writer's Net Income despite any remaining unrecouped Advance. Notwithstanding anything to the contrary Writer does not recoup the Advance from Writer's Net Income, Writer is not responsible to return any unrecouped part of the advance.

(c) Options: Publisher agrees to pay Writer additional advances of $20,000 upon the commencement of each additional option period. These advances will be entirely recoupable from all of the Writer's Net Income.

(d) Legal Fees: Publisher also agrees to pay to Writer's attorney, [ATTORNEY], a fee in the amount of XX Dollars upon execution of this Agreement. Such attorney's fee will also be recoupable from Net Income.

4. SCOPE OF AGREEMENT.

(a) Subject to those requirements and/or restrictions set forth herein, Writer hereby grants, sells and conveys to Publisher fifty percent (50%) of the Publisher's share of royalties, as such term is commonly referred to in the music industry, and fifty percent (50%) of Writers' total copyright interest in all songs written or co-written by Writer prior to and during the Term, subject to the provisions in paragraph 4(b) below, in the case of co-written compositions (collectively referred to below as "**Subject Compositions**" or "**SC[s]**"), and Publisher shall have the exclusive rights to administration of the SCs for the life of copyright in each instance in the Territory.

(b) In the case of co-written compositions, such co-ownership and administration shall only extend to Writer's fractional interest, calculated by multiplying one hundred percent (100%) by a fraction, the numerator of which is one (1) and the denominator of which is the total number of contributing writers in the composition, unless the ownership of such composition is delineated in a different amount by the contributing writers in writing.

(c) Publisher and Publisher's foreign subsidiaries, affiliates and licensees have the fullest possible rights to administer and exploit the SCs, to print, publish, sell, dramatize, use and license any and all uses of the SCs, to execute in its own name any and all licenses and agreements whatsoever affecting or respecting the SCs, including but not limited to licenses for mechanical reproduction, public performance, dramatic uses, synchronization uses and subpublication, and to assign or license such rights to others, to utilize Writers' name and likeness in connection therewith and to execute PA forms (and other routine copyright documents) in Writers' names and on Writers' behalf as attorney-in-fact (which appointment is coupled with an interest and is therefore irrevocable), solely with respect to the SCs. This statement of exclusive rights

is only in clarification and amplification of the rights of Publisher and not in limitation thereof.

5. **COLLECTION OF INCOME.** Publisher is entitled to receive and collect and shall receive and collect all gross receipts derived from the SCs. "Gross Receipts" is defined as any and all revenue, income and sums derived and actually received by Publisher in the United States (after deduction of any collection or other fees charged by The Harry Fox Agency, Inc., or any other such collection agent which may be used by Publisher anywhere in the United States and Canada, and after deduction of any collection fee or share of royalties charged by any collection agent or subpublisher used by Publisher outside the United States and Canada) from the exploitation of the SCs, including without limitation, mechanical royalties, synchronization fees, dramatic use fees, printing income and the publisher's share of public performance fees. In the event Publisher or Publisher's subsidiaries or affiliates in the United States or Canada shall print and sell any printed editions of any of the Compositions, Gross Receipts with respect thereto, for the purposes of this Agreement, shall be deemed to be a royalty on the net paid sales of each printed edition, which royalty shall be equal to the then current royalty generally being paid by print licensees in the United States to unrelated music publishers.

6. **ROYALTIES/ NET INCOME SHARE.** Publisher shall pay to Writer publishing royalties of fifty percent (50%) of the so-called Publisher's share of Net Income received by Publisher and derived by Publisher from the SCs, and shall retain the remaining net income for Publisher's own account. In addition Publisher shall pay one hundred percent (100%) of the Net Income of the so-called Writer's share of songwriter royalties with respect to monies received by Publisher from Publisher's exploitations of SCs (except for royalties with respect to printed editions). Publisher's requirement to make payment of royalties shall survive the termination of this Agreement.

(a) "Net Income" is defined as the Gross Receipts less the following:

(i) An administration fee of ten percent (10%) of the gross receipts, which Company shall retain for Company's own account;

(ii) Royalties which shall be paid by Publisher to any other writers of SCs pursuant to any songwriter's agreements between Writers and any such other writers (true copies of which latter agreements shall be submitted by Writers to Publisher promptly upon execution thereof).

(iii) Out-of-pocket administrative and exploitation expenses of Publisher with respect to the SCs including, without limitation, copyright registration fees, advertising and promotion expenses directly related to the SCs, the costs of transcribing for lead sheets, and the costs of producing demonstration records.

(iv) Attorneys' fees, if any, actually paid by Publisher for any agreements (other than the within Agreement) affecting solely the SCs or actual and reasonable out-of pocket audit and litigation collection expenses.

7. COLLECTION OF PERFORMANCE ROYALTIES.

(a) Public performing rights in the SCs, to the extent permitted by law, shall be assigned to and licensed by the performing rights society to which both parties belong. Said society shall be and is hereby authorized to collect and receive all monies earned from the public performance of the SCs in the United States and Canada and shall be and is hereby authorized to collect and receive all monies earned from the public performance of the SCs in the United States and Canada and shall be and is hereby directed to pay directly to Publisher the entire amount allocated by said society as the publisher's share of public performance fees for the SCs for the United States and Canada. All writer's share of public performances fees for the SCs will be paid directly to Writer by such society and shall not be considered to be part of Net Income under this Agreement.

(b) If any musical composition acquired in whole or in part by Writer during the term hereof or by Publisher under the provisions or the Agreement was written or co-written by a member of a performing rights society other than the society to which the parties hereto belong, said musical composition or the appropriate share thereof shall be a Composition hereunder, co-owned by an affiliate of Writer that shall be a member of said other society, and administered by Publisher's affiliate.

(c) Annexed hereto is the form of letter of direction and assignment from Writer to ASCAP, which shall effectuate the provisions of this paragraph. Writer shall sign and deliver to Publisher copies of said letter simultaneously herewith, and in default thereof Publisher is hereby authorized and empowered by Writer to sign copies of this letter for and on behalf of Writers and submit same to the appropriate society.

8. **COLLECTION OF MECHANICAL ROYALTIES.** Mechanical royalties for the SCs for the United States and Canada may be collectible by The Harry

Fox Agency, Inc., the Mechanical Licensing Collective, or any other collection agent who may be designated by Publisher, provided, however, that Publisher shall issue the mechanical licenses directly at the then current statutory rate and collect mechanical royalties directly therefrom, in which case there shall be no collection fee as referred to in clause 5 above.

9. **SUBPUBLISHING AGREEMENTS.** Publisher may enter into subpublishing or collection agreements with, and license or assign this Agreement and any of its rights hereunder and delegate any of its obligations hereunder to, any persons, firms or corporations in the Territory. If Publisher is or shall be a party to any subpublishing, collection or administration agreement for any country of the world with a subsidiary or affiliate, such agreement shall be deemed to be an agreement with an unrelated third party and, for the purposes of this Agreement, such agreement shall be deemed to be in good faith and follow reasonable industry standards. For the sake of accounting, both parties agree that Net Income in relation to any sub-publishing income shall be calculated only by those funds actually received by Publisher in the United States.

10. **ACCOUNTING.** Statements as to royalties payable hereunder shall be sent by Publisher to Writer on or before the thirty-first day of August of the semi-annual period ending the preceding June 30, and on or before the 1st day of March for the semi-annual period ending the preceding December 31st, together with payment of accrued royalties, if any, earned by Writer hereunder during such semi-annual period, less all Expenses and charges under this Agreement.

(a) No royalties shall be payable to Writer by any of Publisher's licensees until payment therefore has been received by Publisher or credited to Publisher's Account. Royalties payable by any such licensees shall be deemed to have occurred in the semi-annual accounting period during which such licensees shall have rendered to Publisher accounting statements for such sales.

(b) Royalties received or credited to Publisher's account outside of the United States shall be computed in the national currency in which Publisher is paid by Publisher's licensees, shall be credited to Writer's royalty account hereunder at the same rate of exchange as Publisher is paid, and shall be proportionately subject to any transfer or comparable taxes which may be imposed upon Publisher's receipts. In the event Publisher shall not receive payment in United States dollars in the United States in respect thereof, such payment shall not be credited to Writer's royalty account hereunder.

(c) Publisher shall keep full, complete, and accurate records with respect to all amounts received and other transactions entered into in connection with Writer's royalties and the SC(s) during the Term of this Agreement and for so

long thereafter as Publisher receives any gross monies or other consideration to which Writer is entitled hereunder. Such books and records may be inspected by Writer, at Writer's expense, at the location at which they are kept during regular business hours by a certified public accountant designated by the party conducting such inspection after reasonable notice to the other party. Should such an audit determine that Publisher has underpaid Writer by an amount greater than five percent (5%) of the total royalties due to Writer from Publisher, Publisher shall bear the costs of the audit.

11. **RIGHT TO PROSECUTE CLAIMS.** Publisher shall have the sole right but not the obligation to prosecute, defend, settle, and comprise all suits and actions respecting the SCs, and generally to do and perform all things necessary concerning the same and the copyrights therein, to prevent and restrain the infringement of copyrights or other rights with respect to the SCs. In the event of the recovery by Publisher of any monies as a result of a judgment or settlement, such monies shall be divided between Writer and Publisher in the same shares as provided in clause 5 above, after first deducting the expenses of obtaining said monies, including counsel fees, and paying any necessary share thereof to Composer or any other writers. Publisher shall have the right to provide counsel for Writer, but at Writer's own expense, subject to pre-approval by Writer, to assist in any such matter. Any judgments against Publisher and any settlements by Publisher of claims against Writers respecting any of the SCs, together with costs and expenses, including counsel fees, shall be covered by the indemnity provisions of Clause 12 hereof, and Writers' indemnity payment thereunder shall be paid to Publisher promptly upon demand and may also be recouped by Publisher from any and all sums that may become due to Writers hereunder.

12. WARRANTIES and REPRESENTATIONS.

(a) Writer hereby warrants and represents that it has the right to enter into this Agreement and to grant to Publisher any rights granted herein, and that the exercise by Publisher of any and all rights with respect to the SCs will not violate or infringe upon any common law or statutory rights of any person, firm or corporation, including without limitation, contractual rights, copyrights and rights of privacy. The rights granted herein are free and clear of any claims, demands, liens, or encumbrances. Writer acknowledges that Publisher has the right to administer and publish compositions other than Writer's SC.

(i) The rights of the parties hereto in and to each Composition shall extend for the full term of the copyright of said Composition and of any derivative copyrights therein the United States of America and throughout the rest of world and for the terms of any and all

renewals or extensions thereof in the United States of America and throughout the rest of the Territory.

(ii) The parties hereto shall execute any further documents including without limitation, assignments of copyrights, and do all acts necessary to fully effectuate the terms and provisions of this Agreement.

13. **INDEMNIFICATION.** Both Publisher and Writer agree to and do hereby indemnify, save and hold each other harmless of and from any and all loss and damage (including reasonable attorney's fees) arising out of or connected with any claim by any one or more third parties or any act by each other which is inconsistent with any of the warranties, representations, and/or agreements made by each party herein, and agrees to reimburse each other on written demand for any reasonable payment made by either party at any time with respect to any liability or claim to which the foregoing indemnity applies. Pending the determination of any claim involving such alleged breach or failure, Publisher may withhold sums due Writer hereunder in an amount consistent with such claim.

14. **CURE OF BREACH.** Neither party will be deemed in breach unless the other party gives notice and the notified party fails to cure within thirty (30) days after receiving notice (fifteen (15) days, in the case of a payment of money); provided, that if the alleged breach does not involve a payment of money and is of such a nature that it cannot be completely cured within thirty (30) days, the notified party will not be deemed to be in breach if the notified party commences the curing of the alleged breach within such thirty day period and proceeds to complete the curing thereof with due diligence within a reasonable time thereafter. However, either party shall have the right to seek injunctive relief to prevent a threatened breach of this Agreement by the other party. All payments required to be made by Publisher hereunder shall be subject to any rights and/or remedies that may otherwise be available to Publisher in the event of a breach of this Agreement on Writer's part not cured in the manner prescribed above, and to any withholding that may be required by the rules and regulations of any taxing jurisdiction having authority.

15. **NOTICES and CONSENTS.**

(a) Notices shall be sent registered or certified mail (return receipt requested) with postage prepaid, to Writers and to Publisher at the following addresses until written notice of a new address shall be duly given:

To Writer: [ADDRESS]

To Publisher: [ADDRESS]

(b) Statements (and payments, if applicable) shall be sent by ordinary mail.
(c) Where the consent or approval of a party is required, it shall not be unreasonably withheld (unless expressly provided otherwise herein) and shall be deemed given unless the party whose consent or approval has been requested delivers notice of nonconsent or disapproval to the other party within fifteen (15) days after receipt of notice requesting such consent or disapproval.

16. ENTIRE AGREEMENT. This Agreement sets forth the entire understanding between the parties, and cannot be changed, modified, or cancelled except by an instrument signed by the party sought to be bound.

17. ARBITRATION. Any claim or dispute arising out of or relating to this Agreement or the breach thereof shall first be settled by binding arbitration in accordance with the rules and regulations of the American Arbitration Association governing three-member panels. Both parties agree to share equally in the cost of Arbitration and be responsible for their own legal fees.

18. MISCELLANEOUS.

(a) Nothing contained herein shall constitute a partnership between or a joint venture by Publisher and Writer.
(b) If any provision of this Agreement shall be declared invalid, same shall not affect the validity of the remaining provisions hereof.
(c) No waiver of any provision of this Agreement or of any default hereunder shall affect the waiving party's rights thereafter to enforce such provision or to exercise any right or remedy in the event of any other default, whether or not similar.
(d) Both parties acknowledge that this Agreement was co-authored jointly, by both parties to this Agreement, and each provided input in creating the provisions contained here within.

19. RIGHT TO LEGAL REPRESENTATION. Writer represents and warrants that Writer has read this Agreement and Writer understands that this is an important legal document. Writer hereby represents and warrants that Writer has been advised of their right to seek independent legal counsel in connection with the negotiation and execution of this Agreement and that Writer has either retained and has been represented by such legal counsel or has knowingly and voluntarily waived their right to such legal counsel and desires to enter into this Agreement with the benefit of independent legal representation.

The effective date of this Agreement shall be the first date written above.

Publisher:

By:_____

Writer's Name:

Signature_____

Soc. Sec. # _____

Date of Birth: _____

Address:

ASSIGNMENT

ASSIGNOR (Writer):

ASSIGNEE (Publisher):

PORTION CONVEYED: An undivided fifty percent (50%) of Copyright, plus one hundred percent (100%) of Administration Rights

For valuable consideration, ASSIGNOR hereby assigns, transfers, sets over, and conveys to ASSIGNEE an undivided fifty percent (50%) interest in ASSIGNOR's copyright interest in the musical compositions listed on the below Schedule A, together with the exclusive worldwide administration rights in such share in accordance with the terms and conditions of the Co-Publishing Agreement between the parties of even date herewith.

This assignment includes the copyrights and proprietary rights in said musical compositions and in any and all versions thereof, and any renewals and extensions thereof (whether presently available or subsequently available as the result of intervening legislation) in the United States of America and elsewhere throughout the world, and further including any and all causes of action for infringement of the same, past, present, and future, and all proceeds from the foregoing accrued and unpaid and hereafter accruing.

IN WITNESS WHEREOF, the undersigned has executed the foregoing Assignment as of the _____ day of _____, _____.

_____
Writer

Notary Public:

_____
Writer's Printed Name

SCHEDULE A
EXISTING COMPOSITIONS